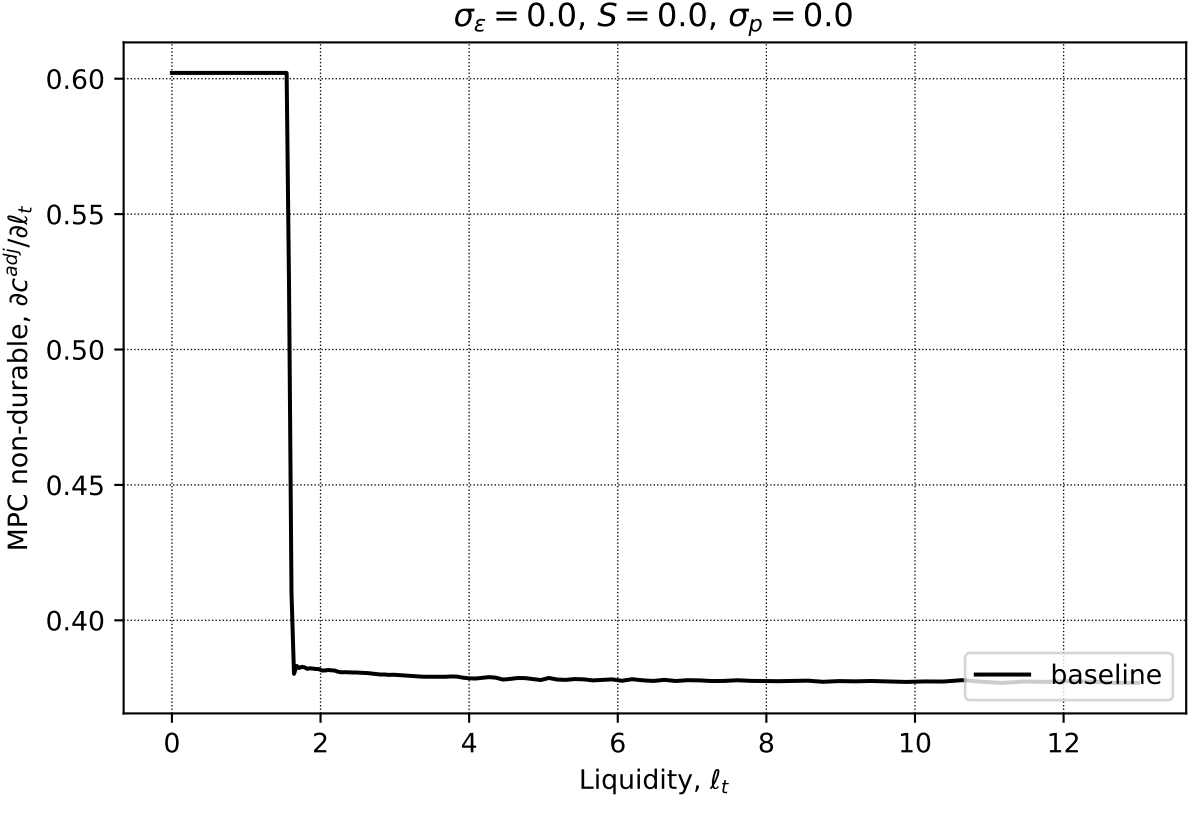
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
0.60
0.55
0.50
0.45
0.40
0
2
4
6
8
10
12
Liquidity, $\ell_t$
baseline